



FIRST SEMESTER 2026-2027

Course handout (Part-II)

Date: 01/08/2026

In addition to part-I (General Handout for all courses appended to the timetable) this portion gives further specific details regarding the course.

Course No. : MPBA G532

Course Title : Financial Modelling and Valuation

Instructor-in-charge : Prof. Saurabh Chadha (Dept. of Management)

1. Scope and Objectives of the Course:

A key component of financial management is the act of calculating and managing a company's value. In essence, managers work to increase the value of their companies in two ways: by increasing the firm's productivity through internal (or organic) growth and by making wise acquisitions that play to the company's core competencies. It follows that practically every significant business choice is decided by asking, "What is it worth?" This course's main goal is to arm you with the conceptual foundation, logical framework, and intuitive reasoning needed to make thoughtful decisions on company value.

This course's emphasis is on assessing the value of the entire enterprise and valuing stock in a company. For our study, we'll depend on the income and market approaches of financial valuation. The course begins by presenting a brief framework on the rules regulating financial statements and changes that are frequently needed to capture the underlying company reality because financial statements serve as the foundation for all types of valuation methodologies. We will use spreadsheet for building the financial model of a company.

This course will be most helpful to students who are either pursuing a career in investment banking, corporate finance, venture capital, entrepreneurship, or business consulting or who would like to do so. The course also has a broader appeal to people who want to improve their



knowledge of financial analysis and discover how companies produce and quantify value for their investors.

2. Format:

This is a fairly challenging and ambitious course by design. We will use case studies and problem-solving techniques because the course objectives are grounded on the practical application of academic ideas. There will be lectures and discussions throughout class time. The readings will be integrated into the lectures' analytic principles, which will provide a helpful framework for a deeper comprehension of the instances. Please keep in mind that the goal of a valuation exercise is to use a series of techniques and logical steps that represent the complexity of the situation, not to get it "precise."

3. Text Books:

T1 Palepu & Healy, "Business Analysis & Valuation – Using Financial Statements, Text & Cases," Cengage Learning Publisher, 3rd Edition or Later (For Theoretical Framework)

T2 Damodaran, "Valuation: Security Analysis for Investment and Corporate Finance," John Wiley, 2nd edition or Later (For Financial Modelling Problems)

4. Course Plan:

Lecture Hours	Learning Objectives	Reference to Book	Learning Outcome
3	Basis and need for valuation Objective of firm Asymmetric information and role of financial statements Steps in business valuation Different approaches to valuation – discounted cash flow (DCF), relative valuation, and contingent valuation	T1 Chapter 1 T2 Chapter 1	Understanding the company valuation and its different approaches.
2	Understand economics of a firm at a qualitative level Identify profit drivers and key business risks	T1. Chapter 2	Understanding the qualitative aspects of firm valuation.





	Perform industry, competitive and strategy analysis		
4	- Evaluate the firm's accounting reports. Steps in accounting analysis - Recast financial statements into a common format - Undo accounting distortions that overstate/understate assets and liabilities - Adjust equity distortions that arise from hybrid securities	Ti. Chapters 3 4	Understanding the company analysis.
3	- Examine firm's performance and financial condition given its strategy and goals - Conduct ratio analysis - Perform cash flow analysis - Assess sustainable growth rate	T1. Chapter 5	Understanding the analysis of firm's performance using spreadsheet modelling
2	- Recognize limitation of accounting earnings - Adjust earnings for miscategorized items such as operating leases and R&D - Define free cash flows to equity (FCFE) and free cash flows to firm (FCF')	T2. Chapter 3	FCFF Vs FCFE
3	- Estimate component costs of capital – equity, debt, preferred etc. - Risk and return models - Obtaining parameters for models. Define beta and determinants	T2. Chapter 2	Understanding the WACC analysis using spreadsheet
3	- Estimate expected future cash flows - Determine length of extraordinary growth period - Estimate earnings and cash flow growth rates including fundamental growth - Estimate stable growth rate and terminal value	T2. Chapter 4	Understanding the forecasted cash flows using spreadsheet
4	- Value equity using DCF models – dividends and FCFE - Single-stage, two-stage, and multi-stage models	T2. Chapter 5	Understanding the equity valuation using spreadsheet





		▪ Compare FCFE and DCF models		modelling
4		▪ Value entire firm using DCF approach ▪ Cost of capital model	T2. Chapter 5	Firm Valuation using DCF modelling and spreadsheet
3		▪ Overview and applicability of relative valuation models ▪ Standardized values and multiples ▪ Steps to using multiples ▪ Analysis of equity multiples ▪ Analysis of value multiples	T2. Chapters 7, 8, 9	Understanding the relative valuation using spreadsheet modelling.
3		▪ Overview of mergers and acquisitions (M&A's) ▪ M&A strategies ▪ Analysis of M&A transactions	T1. Chapter 11	Understanding the M&A transactions.

5. Evaluation Scheme:

EC No.	Evaluation Component (EC)	Duration	Weightage (%)	Date & Time	Nature of the Component
1	Mid-term Exam	90 min	20%	07/10/26 FN2	Closed Book
2	Quizzes and Assignment	30 min	40%	Announce basis	Open Book
3	Comprehensive Examination	3 Hours	40%	08/12/26 AN	Closed Book

Chamber Consultation Hour: With prior appointment only.

Course Notices: All the notices concerning the course will be displayed on Management Department Notice Board.